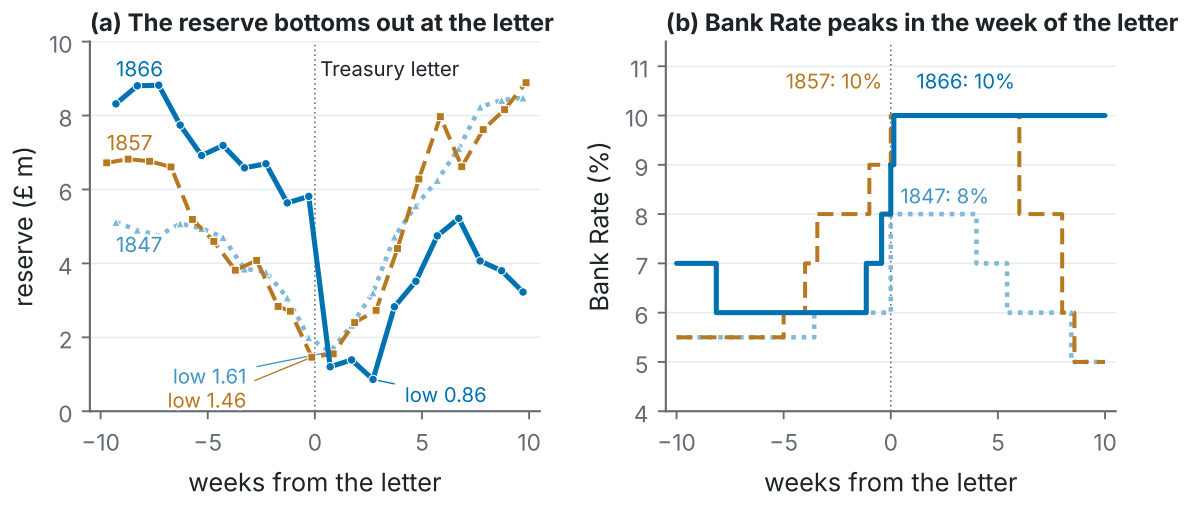
(a) The reserve bottoms out at the letter
reserve (£ m)
10
8
6
4
2
0
1866
1857
1847
Treasury letter
low 1.61
low 1.46
low 0.86
−10
−5
0
5
10
weeks from the letter
(b) Bank Rate peaks in the week of the letter
Bank Rate (%)
11
10
9
8
7
6
5
4
1857: 10%
1866: 10%
1847: 8%
−10
−5
0
5
10
weeks from the letter